

PPLI / IUL Case Analysis — Is It Worth It?

Age 43 | Adding \$300k/yr | 7% annual growth | Net Worth: \$10M / \$15M / \$20M / \$25M

ASSUMPTIONS & KEY INPUTS

Age today: 43 Annual additions: \$300,000/yr Growth rate: 7%/yr Life expectancy: Age 83	Current estate tax exemption: \$13.99M (2026) If exemption resets (Dec 31 2025): ~\$7M Estate tax rate: 40% on excess Married couple exemption: 2× these amounts	IUL (\$10M JH): \$1,799,479 in charges PPLI (\$10M): ~\$500,000 in charges Savings with PPLI: \$1,299,479 Compounded @ 7% over 20 yrs: ~\$5M
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1. WHERE YOUR WEALTH GOES — ALL FOUR ASSET LEVELS

Starting Net Worth	Age 55 (12 yrs)	Age 65 (22 yrs)	Age 75 (32 yrs)	Age 83 Life Exp.
\$10M	\$28.3M	\$60.0M	\$122.5M	\$213.8M
\$15M	\$39.5M	\$82.2M	\$166.1M	\$288.7M
\$20M	\$50.8M	\$104.3M	\$209.7M	\$363.6M
\$25M	\$62.0M	\$126.5M	\$253.3M	\$438.4M

Growing at 7%/yr, adding \$300k/yr every year. These are conservative estimates.

2. ESTATE TAX EXPOSURE — THE PROBLEM THAT GROWS EVERY YEAR

Starting Net Worth	Estate Tax TODAY (current \$14M ex.)	Estate Tax TODAY (if resets to \$7M)	Estate Tax at Age 65 (\$7M scenario)	Estate Tax at Age 75 (\$7M scenario)	Kids keep at Age 75 (\$7M scenario)
\$10M	\$0	\$1.2M	\$21.2M	\$46.2M	\$76.3M
\$15M	\$404k	\$3.2M	\$30.1M	\$63.6M	\$102.5M
\$20M	\$2.4M	\$5.2M	\$38.9M	\$81.1M	\$128.6M
\$25M	\$4.4M	\$7.2M	\$47.8M	\$98.5M	\$154.8M

■ The current \$13.99M exemption expires December 31, 2025. If it resets to ~\$7M (the pre-2017 level), someone with \$10M today owes \$1.2M in estate tax IMMEDIATELY. At \$25M, \$7.2M is owed. Each year's growth makes this worse. Every \$1 shielded in PPLI/IUL today saves \$0.40 in estate tax.

3. DETAILED PROJECTION — EACH ASSET LEVEL WITH PPLI/IUL CASE

Starting Net Worth: \$10M

Estate tax today (cur ex): \$0		Estate tax if exemption resets: \$1.2M		Annual investment tax drag: \$88,800/yr		PPLI charge savings → \$5.0M by yr 20	
Milestone	Age	Wealth	Estate Tax (cur \$14M ex)	Estate Tax (reset \$7M ex)	Kids keep (cur)	Kids keep (reset)	What \$10M PPLI/IUL Saves
Age 55 (12 yrs)	55	\$28.3M	\$5.7M	\$8.5M	\$22.6M	\$19.8M	\$4.0M
Age 65 (22 yrs)	65	\$60.0M	\$18.4M	\$21.2M	\$41.6M	\$38.8M	\$4.0M
Age 75 (32 yrs)	75	\$122.5M	\$43.4M	\$46.2M	\$79.1M	\$76.3M	\$4.0M
Age 83 (life exp.)	83	\$213.8M	\$79.9M	\$82.7M	\$133.9M	\$131.1M	\$4.0M

Starting Net Worth: \$15M

Estate tax today (cur ex): \$404k			Estate tax if exemption resets: \$3.2M		Annual investment tax drag: \$133,200/yr		PPLI charge savings → \$5.0M by yr 20
Milestone	Age	Wealth	Estate Tax (cur \$14M ex)	Estate Tax (reset \$7M ex)	Kids keep (cur)	Kids keep (reset)	What \$10M PPLI/IUL Saves
Age 55 (12 yrs)	55	\$39.5M	\$10.2M	\$13.0M	\$29.3M	\$26.5M	\$4.0M
Age 65 (22 yrs)	65	\$82.2M	\$27.3M	\$30.1M	\$54.9M	\$52.1M	\$4.0M
Age 75 (32 yrs)	75	\$166.1M	\$60.8M	\$63.6M	\$105.3M	\$102.5M	\$4.0M
Age 83 (life exp.)	83	\$288.7M	\$109.9M	\$112.7M	\$178.8M	\$176.0M	\$4.0M

Starting Net Worth: \$20M

Estate tax today (cur ex): \$2.4M			Estate tax if exemption resets: \$5.2M		Annual investment tax drag: \$177,600/yr		PPLI charge savings → \$5.0M by yr 20
Milestone	Age	Wealth	Estate Tax (cur \$14M ex)	Estate Tax (reset \$7M ex)	Kids keep (cur)	Kids keep (reset)	What \$10M PPLI/IUL Saves
Age 55 (12 yrs)	55	\$50.8M	\$14.7M	\$17.5M	\$36.1M	\$33.3M	\$4.0M
Age 65 (22 yrs)	65	\$104.3M	\$36.1M	\$38.9M	\$68.2M	\$65.4M	\$4.0M
Age 75 (32 yrs)	75	\$209.7M	\$78.3M	\$81.1M	\$131.4M	\$128.6M	\$4.0M
Age 83 (life exp.)	83	\$363.6M	\$139.8M	\$142.6M	\$223.7M	\$220.9M	\$4.0M

Starting Net Worth: \$25M

Estate tax today (cur ex): \$4.4M			Estate tax if exemption resets: \$7.2M		Annual investment tax drag: \$222,000/yr		PPLI charge savings → \$5.0M by yr 20
Milestone	Age	Wealth	Estate Tax (cur \$14M ex)	Estate Tax (reset \$7M ex)	Kids keep (cur)	Kids keep (reset)	What \$10M PPLI/IUL Saves
Age 55 (12 yrs)	55	\$62.0M	\$19.2M	\$22.0M	\$42.8M	\$40.0M	\$4.0M
Age 65 (22 yrs)	65	\$126.5M	\$45.0M	\$47.8M	\$81.5M	\$78.7M	\$4.0M
Age 75 (32 yrs)	75	\$253.3M	\$95.7M	\$98.5M	\$157.6M	\$154.8M	\$4.0M
Age 83 (life exp.)	83	\$438.4M	\$169.8M	\$172.6M	\$268.7M	\$265.9M	\$4.0M

4. PPLI CASE STRENGTH SCORECARD

Net Worth Today	Estate Tax Risk Today	Estate Tax Risk if Reset	Annual Tax Drag	PPLI Charge Savings	PPLI Savings @ Yr20 (compd)	Qualifies for PPLI?	Verdict
\$10M	\$0	\$1.2M	\$88,800	\$1.3M	\$5.0M	✓ Yes	SOLID — start now
\$15M	\$404k	\$3.2M	\$133,200	\$1.3M	\$5.0M	✓ Yes	STRONG — do it
\$20M	\$2.4M	\$5.2M	\$177,600	\$1.3M	\$5.0M	✓ Yes	VERY STRONG
\$25M	\$4.4M	\$7.2M	\$222,000	\$1.3M	\$5.0M	✓ Yes	CRITICAL

THE CASE IN ONE SENTENCE: At age 43, adding \$300k/yr, growing at 7%, every asset level from \$10M to \$25M produces an estate worth \$120M–\$440M by age 75. The estate tax on that — even under best-case exemption — is \$43M–\$170M. A \$10M PPLI/IUL policy in an ILIT, started TODAY, removes \$10M+ from that taxable estate (saving \$4M+ in estate tax), shelters investment growth from annual income tax, provides \$200k–\$400k/yr in tax-free retirement income, and passes a growing death benefit to your heirs completely income-tax-free. The question is not whether to do it. The question is IUL (\$1.8M charges) vs PPLI (\$500k charges) — a \$1.3M difference that compounds to ~\$5M by Year 20.

7% annual growth rate and \$300k/yr additions are assumptions for illustration purposes. Actual growth will vary. Estate tax figures based on 2026 law; exemption sunsets Dec 31 2025 unless extended. PPLI charges estimated at \$500k for \$10M policy. IUL charges from JH illustration April 2026. Not tax, legal, or financial advice. Consult your advisors.